



VC funding snapshot

As of 8 August 2026, AI has become the dominant category in venture funding, but the market is highly concentrated: a small number of frontier-model, AI-infrastructure and “neocloud” companies are absorbing most of the capital. Deal counts are much less impressive than headline funding totals because mega-rounds are distorting the market.

Source	Latest reported period	AI funding signal	Main takeaway
Crunchbase	H1 2026	Global startups raised approximately \$510B ; Q2 alone exceeded \$200B	H1 2026 surpassed the full-year 2025 total of \$440B. Funding is being driven by AI and a handful of very large rounds. ^[1]
Crunchbase	Q1 2026	\$242B went to AI-related companies, around 80% of global startup funding	OpenAI, Anthropic, xAI and Waymo together raised \$188B, or about 65% of quarterly funding. ^[2]
PitchBook / NVCA	U.S. H1 2026	U.S. VC investment reached \$412.7B ; AI captured approximately \$355.9B , or 86%	Rounds of \$100M or more represented 87.5% of U.S. venture dollars deployed. ^[3]
CB Insights	Q1 2026	Private AI companies raised \$226B	Mega-rounds of \$100M+ represented 94% of AI funding; OpenAI’s \$122B corporate minority investment accounted for 54%. ^[4]
PitchBook	2026 year-to-date	Corporate investors represented 87.9% of U.S. AI VC deal value	CVC participation is increasingly concentrated in a few large AI companies, even though corporate investors participate in a smaller share of total deals. ^[5]

The Crunchbase and CB Insights numbers should **not be added together**. They use different definitions of AI, geography, transaction type and treatment of strategic/corporate investments.

What is driving the market

1. Mega-rounds dominate

The main pattern is **capital concentration rather than broad-based recovery**. CB Insights reported that \$100M-plus rounds accounted for 94% of AI funding in Q1 2026, while PitchBook reported that such rounds represented 87.5% of all U.S. venture dollars in H1. ^[3] ^[4]

The largest financings are going to:

- Frontier-model companies such as OpenAI, Anthropic and xAI.
- AI-compute providers, including GPU clouds and neoclouds.

- Data-center, power and networking infrastructure companies.
- A smaller group of AI-native drug-discovery, autonomy and robotics companies.

2. Strategic capital is replacing traditional VC

Hyperscalers, semiconductor companies, sovereign funds and large corporate investors are increasingly participating directly in AI financings. PitchBook's estimate that CVCs represented 87.9% of U.S. AI VC value in 2026 indicates that the biggest deals are often strategic capital transactions rather than conventional Series B or Series C venture rounds. ^[5]

This matters because these investors may be seeking:

- Preferred access to compute capacity.
- Long-term chip or cloud consumption.
- Strategic distribution or model partnerships.
- Equity exposure to companies that are also major customers.

3. Early-stage funding is weaker than the headline totals suggest

The market is bifurcated:

- **Frontier and infrastructure companies:** exceptional access to capital and very large rounds.
- **Application startups:** continued investor interest, but stronger pressure on differentiation, revenue and distribution.
- **Seed and Series A companies:** more difficult fundraising environment, with greater emphasis on proprietary data, measurable customer ROI and low inference costs.

CB Insights' 2025 data already showed the direction: average AI deal size reached \$49.3M, while \$100M-plus rounds accounted for more than 75% of funding in the preceding four quarters. ^[6]

2025 baseline

The 2026 acceleration follows a strong 2025:

- Crunchbase estimated **\$425B** in global venture funding in 2025, with roughly **\$211B** going to AI-related companies—about half of all global venture capital. ^[7]
- CB Insights estimated total global venture funding at **\$469B**, with AI companies receiving **\$226B**, or 48%. ^[8]
- The difference between the two estimates reflects different datasets and classification methods, but both show the same structural result: AI captured approximately half of venture capital in 2025.

Investor implications

For an investment or market-sizing slide, the strongest interpretation is:

AI venture funding is growing at a record pace, but it is not evenly distributed. Capital is concentrating in frontier models, compute infrastructure and strategic corporate rounds, while the median startup faces a more selective fundraising market.

Useful metrics to track separately are:

1. Total AI funding.
2. Number of AI deals.
3. Funding excluding the top five or ten rounds.
4. Share of funding from CVCs and strategic investors.
5. Early-stage deal count and median round size.
6. Infrastructure versus application-layer funding.
7. Revenue-backed versus pre-revenue financings.

The most important caution is to avoid using **total AI funding alone** as evidence of broad startup-market health. In 2026, the more informative question is: *How much capital remains after removing frontier-model mega-rounds?*

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3. <https://siliconangle.com/2026/07/09/pitchbook-us-venture-funding-hits-412-7b-first-half-ai-deals-dominate/>
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5. <https://pitchbook.com/news/reports/q3-2026-fewer-deals-bigger-bets-how-corporate-capital-is-concentrating-us-ai-venture-activity>
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